

course, that he was bullish after the secondary swing but that he did not think, in view of stock values from earnings of record, that a bull market which had then been operative sixteen months could run much further. It was a curious contraction, incidentally, of his own minimum four-year estimate, but that major upward swing as a matter of fact ran until the following September. It may be said that such a swing always outruns values. In its final stage it is discounting possibilities only.

A USEFUL DEFINITION

In the same editorial Dow goes on to give a useful definition from which legitimate inferences may drawn. He says:

It is a bull period as long as the average of one high point exceeds that of previous high points. It is a bear period when the low point becomes lower than the previous low points. It is often difficult to judge whether the end of an advance has come because the movement of prices is that which would occur if the main tendency had changed. Yet, it may only be an unusually pronounced secondary movement.

This passage contains, by implication, both the idea of "double tops" and "double bottoms" (which I frankly confess I have not found essential or greatly useful) and the idea of a "line," as shown in the narrow fluctuation of the averages over a recognized period, necessarily one either of accumulation or distribution. This has been found to be of the greatest service in showing the further persistence of the main movement, or the possible termination of the secondary movement, so apt to be mistaken for the initiation of a new major trend.